

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester IV (Special) Examination, 2014-15

Paper No. BCH-223: Specialised Accounts-II

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Prepare the Profit and Loss Account of the *Mahamana Bank Ltd.* for the year ending 31st March, 2014 from the following particulars:

Particulars	Amount (Rs.)
Interest on Loans	2,59,000
Interest on Fixed Deposits	2,75,000
Rebate on Bills Discounted	49,000
Commission Charged to Customers	8,200
Salaries, etc.	54,000
Discount on Bills Discounted	1,95,000
Interest on Cash Credit Accounts	2,23,000
Interest on Current Accounts	42,000
Rent and Taxes	18,000
Interest on Overdrafts	54,000
Auditors' Fees	4,200
Interest on Saving Bank Deposits	68,000
Postages and Telegrams	1,400
Printing and Stationery	2,900
Sundry Charges	1,700

[14]

OR

Give a specimen of a Bank's Profit and Loss Account and explain each head in brief. [14]

Question 2. Prepare the Revenue Account in respect of *Kashi Accident Insurance* for the year ending 31st March, 2014 from the books of General Insurance Ltd.:

Particulars	Amount (Rs.)
Reserve for Unexpired Risk (Opening)	80,000
Additional Reserve	10,000
Premium (Net)	5,20,000
Claims (Net)	1,20,000
Expenses of Management	10,000
Bonus in Reduction of Premium	5,000
Commission	15,000
Outstanding Claims (Closing)	10,000
Interest and Dividends	15,000
Income Tax thereon	4,000
Interest on Investments	5,000

Provide for Reserve for Unexpired Risks at 50% of Net premium.

[14]

OR

Give a specimen of the Revenue Account and Balance Sheet of a Life Insurance Company. [14]

Question 3. Differentiate between the Presidency Towns Insolvency Act and the Provincial Insolvency Act, and also explain the preferential creditors under both Acts.

[14]

OR

Give the proforma of a Statement of Affairs and Deficiency Account using imaginary figures. [14]

Question 4. What is Extension and Replacement of Fixed Assets? Explain the accounting treatments regarding extension and replacement of fixed assets. [14]

OR

The figures given below relate to the *Maruti Colliery Company* for the year ending 31st March, 2014. You are required to construct a Capital Account and General Balance Sheet under the Double Account System:

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
Equity Shares (Rs. 10 each)	2,20,000	Cash in Hand & Bank	60,000
Preference Shares (Rs. 100 each)	1,20,000	Office Building	8,000
Debentures	60,000	Furniture	18,000
Bills Payable	12,000	Depreciation Fund	40,000
Sundry Creditors	18,000	Reserve Fund	30,000
Land	17,000	Balance of P & L A/c (Cr.)	50,000
Shaft Sinking, etc.	2,20,000	Stock	24,000
Plant & Machinery	70,000	Investment	34,000
Wagons	27,000	Sundry Debtors	70,000
		Bills Receivable	2,000

The above figures include an issue of Rs. 20,000 Preference shares during the year, and the following capital expenditures were made during the same period: Shaft sinking Rs. 12,000; Plant & Machinery Rs. 10,000; Wagons Rs. 6,000; and Furniture Rs. 2,000. [14]

Question 5. What do you mean by Government Accounting? Explain the fundamental principles of Government Accounting. [14]

OR

Differentiate between Commercial Accounting and Government Accounting. Discuss the role of the Comptroller and Auditor General (C&AG) of India regarding Government Accounting. [14]

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